Revision Date:
July 1, 2020

Background:
State regulations state customers may voluntarily report changes any time. A voluntary report can never be late and there is no requirement for an Assistance Unit (AU) to report a voluntary change within 10 days. If the change is verified mid-period, the customer is not required to report the change again. However, gross income received in the Data Month must still be reported and verified.

Mid-period reports may be made in writing, fax, online, email, by phone, in-person or on a Mid-Period Status Report.

Purpose:
This section is being revised to clarify the mid-period reporting rules for adding a newborn and second parent to an existing Pregnant Person Only (PPO) case.

Policy:
Action on Voluntary Reports
Take action mid-period for a voluntary report when:
- Verification has been provided that results in an increase in CalWORKs benefits; or
- There is a request for discontinuance for an individual or entire AU.

When mid-period action is not required or verification for a potential increase in benefits has not been received:
- Changes will be entered in the data system for follow-up at the next SAR 7 or annual redetermination, whichever comes first.
- A "No Change" Notice of Action (NOA) will be issued to the AU. The budget calculation must be included on the CalWORKs "No Change" NOA for the AU to see how the County determined that the reported change did not result in a mid-period increase in benefits.

Establishing Effective Date of Benefit Increase
The effective date of the increase in CalWORKs is based on when the change is reported and not when the change actually occurred. This is determined based on the type of change reported:
If the voluntary report is a:
- Decrease in income, CalWORKs benefits will increase effective the first of the month in which the change occurred or is reported, whichever is later.
- New household member, CalWORKs benefits will increase the first of the month following the report of the change.

Example 1: Verification received within 10-day timeframe	
Scenario	An AU is in the January - June Payment Period (Semi-Annual Reporting (SAR) Cycle 1). Mom voluntarily reports a decrease in income on March 25th. A request for verification was sent on March 28th with a 10-day due date of April 7th. The verification is provided timely on April 3rd.
Outcome	The grant will be recalculated for March – June and a supplemental payment will be issued for March no later than April 13th. The AU will also be notified of any changes in the Income Reporting Threshold (IRT).

Example 2: Verification received after 10-day timeframe	
Scenario	Same scenario as Example 1 above; however, the requested verification is not received until April 10th after the 10-day due date.
Outcome	Since the verification was provided after the 10-day timeframe, April 10th will be considered as the new report date and no supplemental payment will be issued for March. Benefits will be recalculated for April – June and a supplemental payment will be issued for April. The AU will also be notified of any changes in IRT.

Example 3: Submit Month change reported on SAR 7	
Scenario	An AU is in the January - June Payment Period (SAR Cycle 1). A timely May SAR 7 is submitted on June 4th. A report is made that the June income will be lower than previously anticipated, and that the income will continue at that lower level. On June 7th, acceptable verification is provided of the decreased income.
Outcome	Benefits will be recalculated for the month of June and a supplemental payment issued if eligible. Benefits for the new SAR Payment Period, July - December, will be reevaluated and timely notification of any changes in IRT will be provided.

Example 4: Decreased income reported for one month only	
Scenario	An AU is in the January-June Payment Period (SAR Cycle 1). The current grant amount is based on the AU's current earned income of $1,000/month. On March 25th, a report is made that two weeks of work were missed due to illness and the AU anticipates only receiving $500 for March. The regular monthly income of $1,000 will resume in April.
Outcome	Upon receiving timely verification of the decreased income, benefits will be recalculated for March only and a supplemental payment will be issued. Benefits for April, May, and June will remain at the previous level. Since the decrease in income for March was only temporary, the AU's IRT will not be recalculated.

Changes in Exempt and Non-Exempt Maximum Aid Payment (MAP) Status

Mid-period action to change an AU's exemption status will only be taken if the change will result in an increase to the CalWORKs grant. When the exempt MAP status is due to the receipt of certain disability-based income, a determination must be completed if CalWORKs will increase when using the new disability-based income together with the higher exempt MAP amount. If the change results in an overall decrease in CalWORKs, the MAP exemption status will remain unchanged and the lower MAP will be used until the next SAR Payment Period.

Household Composition Changes

If a change in household composition is voluntarily reported during the SAR Payment Period, mid-period action will be taken if the change results in an increase in benefits or if there is a request for discontinuance for an individual or the AU. The AU will continue to receive CalWORKs at their current level for the remaining months of the SAR Payment Period if the change results in a decrease in benefits, unless there is a change in eligibility due to other reasons. Verification must first be requested and evaluated, before benefits can be increased mid-period.

The new individual must be eligible, and if added, must meet all linking and nonlinking eligibility factors before aid is authorized. When an AU voluntarily reports a new individual in the home:

- First determine if the new individual, if added to the AU, would still meet all eligibility conditions

- Then determine the effect the addition will have on the cash grant; if it would cause an increase or decrease to the grant amount, or if the addition would render the entire AU ineligible

If the addition of the new individual would result in a(n):

- Increase in aid but the new individual does not meet all eligibility conditions before aid is authorized, do not add the individual nor discontinue the existing AU mid-period
- Decrease, add the new individual the first day of the next Payment Period, after all eligibility conditions have been met

If the household does not report a new household member on the SAR 7 or at annual redetermination, and the addition of the individual would have resulted in a decrease in benefits, an overpayment will be established.

AU Composition Due to Changes of Income

Circumstances may change over time and this may result in a different AU composition mid-period, at SAR, or annual redetermination than the AU reported at the time of initial application.

When the AU reports income in excess of the IRT in any month except the last month of the current payment period, the county will determine if the reported income is reasonably anticipated to continue and whether the AU's net nonexempt monthly income determined for the remainder of the current payment period will result in a lower grant amount or will exceed the income eligibility limits for CalWORKs. If the income is reasonably anticipated to continue and will result in a lower grant amount for the remainder of the payment period, the county will recalculate the AU's grant amount for the remainder of the payment period. If the income is reasonably anticipated to continue to exceed the AU's income eligibility limits for the remainder of the payment period, the county will determine the AU financially ineligible and will discontinue the AU at the end of the month in which the AU first received the income that exceeded the AU's eligibility limits, with timely and adequate notice.

When an AU is determined no longer financially eligible to CalWORKs due to a mandatory mid-period report of income over the CalWORKs limits, the county will discontinue the AU at the end of the month in which the AU first received the income that exceeded the AU's eligibility limits, with timely and adequate notice. If the income reported is not reasonably anticipated to continue, the report of income over the IRT will not affect ongoing benefits for the current payment period.

When an AU reports income in excess of the IRT in the last month of the current payment period, the county will determine if the reported income is reasonably anticipated to continue. If the income will continue, the county will use that information together with the SAR 7 or SAWS 2 PLUS information to prospectively determine eligibility and cash aid amount for the next payment period. If the AU's new income is reasonably anticipated to continue and will make the current AU ineligible, the county will determine if continued eligibility exists for any of the members of the current AU. Any change in deprivation reported on the SAR 7 or the SAWS 2 PLUS and any change in eligibility or the grant amount that results from the new AU shall also be effective the first day of the next payment period.

Example 1: New household member reported mid-period	
Scenario	An AU of 3, A Parent and two children, is in the January - June Payment Period (SAR Cycle 1). The AU has no income. In February, the parent voluntarily reports that the second parent has moved into the home and has income.

Outcome	It was determined that adding the second parent to the AU will result in a decrease in benefits. A "No Change" NOA is sent to the AU and the information is noted as a Held Change for follow-up at the next SAR 7 or annual redetermination, whichever comes first.

Example 2: Follow-up at SAR 7	
Scenario	Parent submits the May SAR 7 in June but does not report the second parent or that parent's income on the SAR 7. The Human Services Specialist calls the parent regarding these omissions and the parent explains that the second parent left the home in April.
Outcome	Unless there is conflicting information, benefits for the upcoming SAR Payment Period (July - December) will continue to be calculated based on the AU of 3 with no income. The second parent's three months in the home (February - April) will have no effect on the benefit level for this AU.

Example 3: New household member results in Ineligibility	
Scenario	An AU of 2, Parent and one child, are in the January-June Payment Period (SAR Cycle 1). In February, the parent voluntarily reports that the second parent moved into the home in February. The second parent has income. It was determined that adding the second parent to the AU will result in ineligibility to CalWORKs.
Outcome	No mid-period action will be taken and a CalWORKs "No Change" NOA, including the required budget, will be issued. The change will be noted in Held Change for follow-up at the next SAR 7 or at annual redetermination, whichever comes first. Medi-Cal will be evaluated for the second parent. CalWORKs will be discontinued effective June 30th at the end of the SAR Payment Period after the second parent's income is reported on the SAR 7 or redetermination. All household members will be evaluated for continuing eligibility to Medi-Cal.

Request to Discontinue an AU/Optional Member

An individual who left the home may request their own discontinuance from the AU. An optional AU member who no longer wants to receive CalWORKs may also request to be discontinued from the AU for their CalWORKs time clock to stop. Mid-period action will be taken to adjust benefits for the remaining AU members, per customer request, regardless of whether the AU had reported the change.

Death of a Household Member

There is no requirement for the AU to report that a household member is deceased until the next SAR or annual redetermination, whichever comes first. If a death of a household member is voluntarily reported by the AU or discovered through a third-party, county-initiated action must be taken to discontinue the deceased household member. When a death of a child is voluntarily reported, the child will continue to be included as a member of the AU in the month which the death occurred, and the following month (CPG 44-270.I).

Newborns

When the birth of a child is voluntarily reported mid-period and required verification has been provided, if adding the newborn to the AU will result in a(n):

- Increase in aid; discontinue the pregnancy special need (PSN) payment at the end of the month. Add the newborn the first of the month following the report of the birth after PSN is discontinued.
- Decrease or no change in aid; continue the PSN through the end of the payment period. The newborn will be added first month of the next SAR Payment Period after PSN ends.

Example: Adding a newborn	
Scenario	An AU of 2, pregnant Mom and her child, is in the January - June Payment Period (SAR Cycle 1). In February, Mom voluntarily reports that she gave birth in January.
Outcome	It was determined that adding the newborn will result in increase of aid. The newborn will be added to the AU effective March 1st, pending required verification. PSN will be discontinued at the end of February. The newborn is deemed eligible to receive Medi-Cal effective January 1st, regardless of when verification is provided to add the newborn to the AU.

Adding the Newborn and the Second Parent to the PPO Case

For a PPO AU, if the second parent of the unborn child is living in the home, the second parent will be excluded from the AU until the child is born. If the second parent was not previously living in the home or was not included on the Statement of Facts at initial application, the second parent is required to complete the CW 8, interview, and provide all documentation/verifications.

The newborn and second parent are treated distinctly, and a separate analysis may be required to determine how each would affect the grant for the existing AU. The newborn and second parent may be added to the case separately, when the circumstances allow, to maximize the cash aid.

After all conditions of eligibility have been met and verification provided:

- If adding the newborn to the existing AU results in a(n):
  - Increase in cash aid, the newborn will be added the first of the month after the birth is reported; PSN will be discontinued at the end of the month in which the birth was reported (10-day notice is not required)
  - Decrease in cash aid, the newborn will be added the first day of the next SAR Payment Period; PSN will continue through the end of the current SAR Payment Period
- If adding the second parent results in a(n):
  - Increase in cash aid, the second parent will be added the first of the month after the birth is reported
  - Decrease in cash aid, the second parent will be added the first day of the next SAR Payment Period after the reported birth

Notes:

- Any income received by the second parent at application is considered when determining financial eligibility for the initial AU. Therefore, any income (under the AU's IRT) received/reported by the second parent after the PPO case has been established is considered a voluntary mid-period report. All parents regardless of their age or marital status are responsible to the extent of their ability for the support and care of their children including an unborn child
- When new household members are added to an existing AU, the AU is subject to the recipient financial eligibility test

- If the addition results in a decrease and/or loss of deprivation, rendering the entire AU ineligible, the existing AU will continue unchanged until the end of the current payment period
- Any change in eligibility or cash aid amount resulting from a change in deprivation will be effective the first day of the next SAR payment period

Example 1: Second Parent in the Home at Application	
Scenario	A PPO applying for CalWORKs. The second parent is in the home, employed part-time, working ten hours a week. CalWORKs is approved with unemployed parent deprivation. The SAR Payment Period is January through June. The income increased in February but remains under the AU's IRT. Their child is born in March. The AU reports both changes in April.
Outcome	While both changes were reported in the same month, they need to be evaluated independently and only act on that which results in an increase to the cash aid. The newborn's eligibility needs to be evaluated to determine linking (deprivation) and non-linking (financial status, etc.) factors and must look at whether the newborn is needy, thus a review of the new income. If the newborn maintains deprivation, and all other conditions of eligibility are met, the newborn may be added the first of the month following the reported birth. Then if adding the second parent would result in an increase to the cash aid, the second parent will also be added the first of the month following the reported birth, assuming all other conditions of eligibility are met. In this scenario, even though the change in income took place prior to the birth of the child, it occurred after the PPO AU was already established and under the IRT; therefore, the report is considered voluntary. As such, the income considered at application will be used when adding the newborn and second parent in determining the cash grant amount for the remainder of the payment period. As the change in income results in a decrease to the existing AU's cash aid, the increased income will be deferred until the first of the following SAR payment period before taking action.

Example 2: Second Parent Moves into the Home After the PPO is Established	
Scenario	PPO AU approved with absent parent deprivation. The SAR payment period is January through June. The child was born in February. The second parent, employed part-time, moved into the home in March. The AU reports both changes in April.
Outcome	As deprivation has been established for the newborn, and all other conditions of eligibility are met for the AU, adding only the newborn would have a positive impact on the grant. In this scenario, because the second parent moved into the home after the PPO AU was already established, the newborn would be added mid-period while the second parent and the income would be added effective July 1, the first month of the following SAR payment period. After evaluating the second parent's income and recalculating the cash grant for the remainder of the SAR payment period for an AU of three, it is determined that including the second parent's income would cause a decrease in the grant, but it would not render the entire AU ineligible.

	If adding the second parent and the income result in a decrease in cash aid for an AU of three, wait until the following SAR payment period before adding the second parent to the AU, assuming all eligibility conditions are met.

Example 3: Employed Second Parent Moves into the Home After the PPO is Established	
Scenario	PPO AU is granted in January with absent parent deprivation, and the SAR payment period is January through June. In April it was reported that the child was born in February, and the fully employed second parent moved into the home in March.
Outcome	Deprivation changes are not acted on mid-period. Therefore, each voluntary mid-period report must be determined separately and sequentially. Although deprivation existed at birth, the newborn no longer meets the financial eligibility criteria, as the income from the second parent exceeds the eligibility limit for an AU of three. As this results in a negative action to the case, the eligibility determination for the newborn and the second parent will be deferred until the following SAR payment period. The existing PPO AU maintains current eligibility, including the PSN payment, until the end of the current payment period. Had the birth been reported in February and the child added to the AU prior to the second parent going into the home, the AU of two would have remained eligible for the remainder of the SAR payment period.

Combining AUs

When a change in household composition results in combining separate AUs mid-period, a determination must be made if the change will result in an increase or decrease in aid for the separate AU. A comparison of the monthly CalWORKs grant of the combined AU to the total monthly grants of the separate AUs must be completed. If the monthly grant of the combined AU is:

- Higher than the total month grants of the separate AUs, the AU will be combined effective the first of the month following the voluntary report.
- Lower than the total monthly grants of the separate AUs, the AUs will be combined effective the first month of the next SAR Payment Period, after the change is reported on the SAR 7 or at the annual redetermination.

If the two AUs have different SAR cycles, the AUs will be combined at the beginning of whichever SAR Payment Period comes first.

Request for Special Need Payments

When a customer voluntarily reports having a special need and verifications are provided, the special needs payment will begin effective the month that the request was made (if verification is received timely) and terminate at the end of the SAR Payment Period in which the special need is expected to end based on the verification.

PSN may discontinue mid-period if adding the newborn will result in an increase to the CalWORKs grant.

If the duration of the special need is:

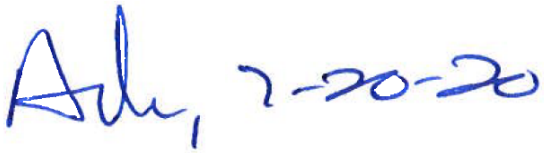
- Permanent, verification must be provided once per year, at annual redetermination or when the current verification expires.
- Temporary, special need payments will be allowed through the end of the SAR Payment Period in which the special need is expected to end.

- Unknown, verification must be provided once per semi-annual period.

References:
- EAS 40-103, 40-107, 40-181, 44-316
- ACLs No. 12-25, 12-25 Errata
- ACINs No. I-03-20, I-16-20

Sunset Date:
This policy will be reviewed for continuance by July 31, 2023.

Approval for Release:



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Eligibility Operations